

MDRX CLAIMS PURCHASE AND BILLING AGREEMENT

This Health Care Insurance Claims Purchase Agreement (the “Agreement”) is executed as of _____ by and between _____, a company which has purchased certain claims for pharmaceuticals for Specialized Patients as defined more fully herein (hereinafter referred to as “Seller”) and MDRX Billing, LLC, a Delaware limited liability company which focuses on claim submission for pharmaceuticals provided to Specialized Patients (“MDRX”),

RECITALS

WHEREAS, Seller has purchased from pharmacies certain insurance claims for patients who are covered by workers’ compensation insurance or no-fault personal injury protection (“PIP”) insurance (hereinafter collectively referred to as “Specialized Patients”); and

WHEREAS, the provision of such drugs to patients for Specialized Patients often gives rise to the right to bill an insurance company (hereinafter referred to as a “Health Care Insurance Claim”); and

WHEREAS, the billing of Health Care Insurance Claims for drugs provided to Specialized Patients is time consuming and costly and generally results in a considerable delay before collecting claims from the insurance companies, resulting in the need for extensive working capital; and

WHEREAS, Seller desires to reduce its need for working capital and improve its cash flow by selling the Health Care Insurance Claims for cash at fair market value at an agreed price calculated as provided herein and MDRX has agreed to purchase the Health Care Insurance Claims, subject to the terms and conditions set forth herein.

NOW, THEREFORE, for and in considerations of the premises and other good and valuable consideration, receipt of which is hereby acknowledged, the parties covenant and agree as follows:

Section 1. Purchase and Sale. Seller agrees to sell and MDRX agrees to purchase all Health Care Insurance Claims for drugs for Specialized Patients that have been purchased by Seller during the term of this Agreement. The parties agree that the sale of the Health Care Insurance Claims hereunder by Seller to MDRX shall constitute a true sale with no recourse for MDRX’s inability to collect the claim for any reason other than the breach of an express representation and warranty by Seller set forth in Section 5 of this Agreement.

Section 2. Purchase Price; Right to Audit. The Purchase Price for each Health Care Insurance Claim shall be sixty-five percent (65%) of all amounts collected by MDRX for Specialized Patients (hereinafter referred to as the “Purchase Price”). This Purchase Price has been agreed to by the parties based on the fair market value of such claims. Seller shall have

access to audit the books and records of MDRX during customary business hours and upon reasonable prior notice to verify the accuracy of charges and tests performed.

Section 3. Monthly Billings; Payment of Purchase Price. MDRX shall pay Seller as of the last day of each calendar month for the Health Care Insurance Claims sold to MDRX and submitted during the calendar month then ended. Payment will be due within fifteen (15) business days after receipt of each month's revenues received by MDRX for the Health Insurance Claims it collects hereunder. Seller shall not be entitled to any other compensation for the claims purchased hereunder regardless of whether MDRX collects any amounts for such claims.

Section 4. Assignment of Health Care Insurance Claims. Seller hereby assigns all Health Care Insurance Claims to MDRX outright and with no restrictions and agrees as to each such claim to deliver to MDRX data sufficient as the parties shall agree for MDRX to submit such Health Insurance Claims. Seller shall provide such additional information, documents or assistance reasonably requested by MDRX from time to time to assist with the collection of the claim, including such additional documentation evidencing the assignment of the claim to MDRX as may be requested by an insurance company.

Section 5. Representations and Warranties by Seller. Seller represents and warrants to MDRX that each right to a claim that it transmits to MDRX for a Health Care Insurance Claim shall be true and accurate in all respects, to the best of its knowledge. Seller further represents and warrants that it shall ensure that pharmacies from which Seller purchases the Health Care Insurance Claims have entered into the Data Use Agreement, the form of which is attached hereto as Exhibit A, and incorporated by reference herein.

Section 6. Term; Early Termination; Termination for Cause.

(a) **Term.** The term of this agreement shall be one year from the Effective Date of this Agreement with an automatic renewal for successive one (1) year terms unless terminated in writing by either party by written notice serve not less than thirty (30) days prior to an annual renewal date.

(b) **Early Termination.** Notwithstanding the one year term set forth in subsection (a) above, either party may terminate this Agreement early by serving written notice on the other party not less than ninety (90) days prior to the date selected for termination.

(c) **Termination for Cause.** In the event either party breaches the terms of this Agreement, the non-breaching party may terminate this Agreement for cause without further notice if the breaching party fails to cure the breach within fifteen (15) business days after receipt of written notice thereof from the non-beaching party.

Section 7. Confidentiality. MDRX acknowledges that Seller has a legitimate and protectable interest in trade secrets and confidential, proprietary business information (hereinafter referred to as the "Confidential Information"), which includes, but is not limited to the pricing, service and contract information contained in this Agreement. MDRX covenants that

it shall not at any time, whether during the term of this Agreement, or after the termination of such Agreement, without the prior, express, written approval of Seller in each instance, disclose, divulge, or in any other way reveal, or cause another to do so, any Confidential Information to any person, party or entity, directly or indirectly except to the limited extent this may be necessary as part of this Agreement. In addition, MDRX shall not, for any purpose or reason, except within the scope of MDRX's responsibilities under this Agreement, directly or indirectly, use or utilize any of the Confidential Information for its own benefit, for the benefit of any third party, or for any purpose whatsoever.

Section 8. HIPAA. In connection with the performance of their obligations under this Agreement, both parties will have access to certain protected health information ("PHI") as defined by the Health Insurance Portability and Accountability Act of 1996 ("HIPAA"). Each party covenants and agrees to maintain the confidentiality of the patient PHI and not to use or disclose such information except as may be required or permitted by applicable law. Each party hereby assures the other party that they will appropriately safeguard the patient PHI made available by or obtained from the other party. This Section shall survive the termination of this Agreement.

Section 9. Notices. All notices or communications required or permitted hereunder shall be in writing, and hand delivered or sent using a nationally recognized overnight delivery service at the following address:

If to Seller:

If to MDRX:

MDRX
1150 First Avenue, Suite 102
King of Prussia, PA 19406

With Copy To:

Alice G. Gosfield and Associates, PC
2309 Delancey Place
Philadelphia, PA 19103

Either party may change its address for the purposes of this notice provision at any time in writing, complying with this notice provision. Notices delivered in person shall be deemed given at the time of receipt.

Section 10. Jurisdiction and Venue. In any litigation in connection with or to enforce this Agreement, each party irrevocably consents to and confers personal jurisdiction on the courts of the Commonwealth of Pennsylvania or of the Eastern District of the United States Federal Courts and expressly waives any objections as to venue in any of such courts, and agrees that service of process may be made by sending a copy of the summons and complaint by overnight delivery service, to its address. Nothing contained herein shall, however, prevent service of process by any other means available by applicable law.

Section 11. Governing Law. The validity, interpretation and performance of this Agreement shall be governed by the laws of the Commonwealth of Pennsylvania, without giving effect to the principles of comity or conflicts of laws thereof.

Section 12. Attorney's Fees/Costs. If any legal action is brought for the enforcement of this Agreement, or because of an alleged dispute, breach or default in connection with any provision of this Agreement, the prevailing party shall be entitled to recover reasonable attorneys' fees (at the trial, appellate or post judgment level) sales and use taxes, court costs and all reasonable expenses, even if not taxable as court costs (incurred in that action) in addition to any other relief to which such party may be entitled, whether incurred at trial or on appeal. Attorney's fees shall include, without limitation, paralegal fees, investigative fees, administrative costs, sales and use taxes and all other charges billed by the attorney to the prevailing party.

Section 13. Entire Agreement. This Agreement constitutes the entire agreement between the Parties, and supersedes any and all other agreements, oral or in writing with respect to the subject matter contained herein.

Section 14. Independent Contractor. None of the provisions of this Agreement are intended to create, nor will they be deemed to create any relationship between the parties other than that of independent parties contracting with each other solely for the purpose of effecting the provisions of this Agreement and any other agreements between the parties evidencing their business relationship.

Section 15. Amendments and Waivers. This Agreement may only be revoked, altered or amended, or modified by the written agreement of both parties hereto. No waiver of any provisions of this Agreement shall be valid unless in writing and signed by the party against whom such waiver is sought. One or more waivers of any covenant or condition of this Agreement by any of the parties hereto shall not be construed as a waiver of any subsequent breach or of other covenants or conditions.

Section 16. Survival. In the event of the expiration or the termination of this Agreement, those portions of this Agreement which by their nature are intended to, or reasonably should, survive the termination or expiration of this Agreement shall so survive.

Section 17. Section Headings. Any section, section title or caption contained in this Agreement is for convenience only, and in no way defines, limits or describes the scope or intent of this Agreement or any of the provisions hereof.

Section 18. Invalid Provisions. The invalidity or unenforceability of any particular provision of this Agreement shall not affect any other provision hereof. This Agreement shall be construed in all respects as if such invalid or unenforceable provisions were omitted.

Section 19. Successors and Assigns. This Agreement shall be binding upon, and shall inure to the benefit of the successors and assigns of the parties. In no event shall either party assign or delegate any of their rights, powers, duties or obligations under this Agreement without prior written consent of the other Party.

Section 20. Construction. This Agreement shall not be construed against a party by

reason of the fact that the Party was responsible for drafting this Agreement or any provision thereof.

Section 21. Interpretation. When the context of this Agreement requires, the gender of all words shall include the masculine, feminine and neuter, and the number of words shall include the singular and plural.

Section 22. Counterparts. This Agreement may be executed in multiple counterparts, each of which shall be deemed an original and all of which shall constitute a single agreement.

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the Effective Date.

MDRX Billing, LLC:

By: _____
Signature

Print: _____

Title: _____

Seller:

_____, **LLC**

By _____
Signature

Print _____

Exhibit A

Data Use Agreement

This Data Use Agreement (“Agreement”) effective as of _____ (the “Effective Date”), is between Excel Pharmacy Services, LLC (“Pharmacy”), and MDRX Billing, LLC (“MDRX”).

WHEREAS, Pharmacy and _____ (“Seller”) have entered into a Health Care Insurance Claims Purchase Agreement, a condition of which is that Pharmacy shall transmit certain information to MDRX necessary for MDRX to submit health care claims;

WHEREAS, Pharmacy intends to transmit to MDRX the minimum amount of data necessary for the limited purposes of MDRX submitting claims for services rendered to certain patients who are covered by workers’ compensation insurance or no-fault personal injury protection insurance (hereinafter collectively referred to as “Specialized Patients”) or responding to audit requests regarding such claims, some or all of which constitutes “protected health information” as that term is defined and used in 45 C.F.R. §§160 and 164 or is otherwise confidential health information protected by Federal or state law (hereinafter “PHI”);

WHEREAS the purpose of such transmission is to accomplish “health care operations,” “treatment,” or “payment” functions, as those terms are defined and used in 45 C.F.R. §§160 and 164;

WHEREAS, neither Pharmacy nor MDRX are “business associates” of each other; and,

WHEREAS, both Pharmacy and MDRX have legal obligations to use certain electronic transaction formats in certain circumstances and to maintain privacy and security of PHI that Pharmacy transmits to MDRX in connection with the Health Care Insurance Claims Purchase Agreement; and, each wish to have assurances that the data transmission in will comply with such obligations;

NOW THEREFORE, the parties hereto in consideration of the mutual covenants herein contained, and other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, and intending to be legally bound, agree as follows:

1. **Definitions.** Terms used, but not otherwise defined, in this Agreement shall have the same meaning as those terms are given when defined in the Privacy, Security, and Breach Notification regulations at 45 C.F.R. §§ 160, 162, and 164.

2. **HIPAA Duties.**

a. Pharmacy shall disclose PHI that it generates for the Specialized Patients covered by the Health Care Insurance Claims Agreement to MDRX, in compliance with

applicable Privacy, Security, and Breach Notification regulations, as well as all other applicable Federal and state law and regulations. Pharmacy shall adopt and enforce appropriate physical, administrative and technical measures to maintain security of such PHI.

b. MDRX shall maintain the privacy and security of PHI received from Pharmacy, in compliance with the applicable Privacy, Security, and Breach Notification regulations, as well as all other applicable Federal and state law and regulations. MDRX shall adopt and enforce appropriate physical, administrative and technical measures to maintain security of such PHI.

c. The provisions of this Section 2 will remain in force and effect after termination of this Agreement for as long as MDRX retains PHI that it has received from Pharmacy hereunder.

3. Network Integrity. Each Party agrees that: (1) it will not knowingly introduce or caused to be introduced into the other Party's systems, hardware, software or databases any code, virus, worm, Trojan horse or other mechanism to disable, adversely affect, harm, or grant access or use not permitted by such other Party to any systems, hardware, software or databases of that other Party or of the customers, beneficiaries, subcontractors or affiliates of that other Party; and, (2) it will maintain reasonable measures to detect and contain such code, virus, worm, Trojan horse or other mechanisms and to eliminate them from its systems.

4. Communications Integrity. Each Party will take reasonable care to ensure that electronic data transmissions of PHI from Pharmacy to MDRX are timely, complete and accurate; and, Pharmacy will take reasonable steps to retransmit any data transmission to MDRX upon discovery that the original transmission has been lost in transmission or is corrupted. If MDRX receives data from Pharmacy and is informed or believes that such data was not intended for it, MDRX will notify Pharmacy, will promptly take effective steps to return such data and will then immediately and permanently delete such data from its systems. In addition:

a. Pharmacy will transfer PHI to MDRX only through use of methods of communication in which Pharmacy and MDRX are the only authorized parties, such as encrypted communication that offers the level of security and authentication of the recipient required under applicable privacy and security laws:

b. Neither Party will permit any third party to use any such connection to the extent that such use is in its control; and,

c. Each Party will take adequate and reasonable steps to ensure that the output display of that connection at its facility is limited to authorized personnel of the Party.

5. Termination. Either Party can terminate this Agreement at any time for any reason or for no reason, effective upon actual receipt by the other Party of written notice of such termination. This Agreement shall automatically terminate upon notice by either party of the termination of either the Health Care Claims Purchasing Agreement between Pharmacy and Seller, or the MDRX Claims Purchasing Agreement between Seller and MDRX.

6. Relationship of the Parties. The Parties are at all times independent contractors to each other and nothing in this Agreement shall be construed to imply any other relationship.

7. Change of Law. Notwithstanding any other provision of this Agreement if during the term hereof any Change of Law (defined below) results in an Adverse Consequence (defined below), the parties agree to cooperate in making reasonable revisions to this Agreement in order to avoid such Adverse Consequence. If the parties fail to agree on such revisions after forty-five (45) days following written notice by either party to the other requesting renegotiation, then either party may terminate this Agreement upon thirty (30) days further written notice.

a. As used herein “Change of Law” shall mean: (i) any new legislation enacted by the federal or any state government; (ii) any new law, rule, regulation, guideline or interpretation enacted, issued or promulgated by any governmental agency or any third party payor; or (iii) any order or decree of any judicial or administrative body.

b. As used herein, a Change of Law shall be considered to result in an “Adverse Consequence” if such Change of Law: (i) invalidates or is inconsistent with the terms of this Agreement or would cause one or both parties to be in violation of any law, regulation or rule; (ii) materially changes either party’s rights or obligations hereunder; or (iii) otherwise results in material adverse legal consequences to either party.

8. Miscellaneous.

a. This Agreement shall be construed in accordance with the laws of the Commonwealth of Pennsylvania.

b. This Agreement constitutes the entire agreement between the parties and may be amended or modified only in writing signed by both parties.

c. The waiver by either party of any breach or violation of any provision under this Agreement will not operate as, or be construed to constitute, a waiver of any subsequent breach of the same or any other provision hereof.

d. If any term or provision of this Agreement or the application thereof to any person or circumstance shall to any extent be invalid or unenforceable, the remainder of this Agreement or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforceable to the fullest extent permitted by law.

e. All notices should be sent to the following addresses or to such other address, by certified return receipt mail, or by nationally recognized overnight courier, in writing to the other party:

To Pharmacy:

Excel Pharmacy
354 W. Lancaster Avenue, Suite 120
Haverford, PA 19041

To MDRX:

MDRX
1150 First Avenue, Suite 102
King of Prussia, PA 19406

f. This Agreement shall be binding upon and inure to the benefit of the parties, their respective successors, heirs, personal representatives and assigns.

g. This Agreement supersedes any prior understanding or written or oral agreements between the parties respecting the subject matter hereof.

IN WITNESS WHEREOF, and intending to be legally bound, the parties have caused this Agreement to be executed as of _____.

Excel Pharmacy Services, LLC (“Pharmacy”)

By: _____

Print Name: _____

Title: _____

MDRX Billing, LLC (“MDRX”)

By: _____

Print Name: _____

Title: _____